Global Tactical Asset Allocation With Artificial Intelligence – October 2026

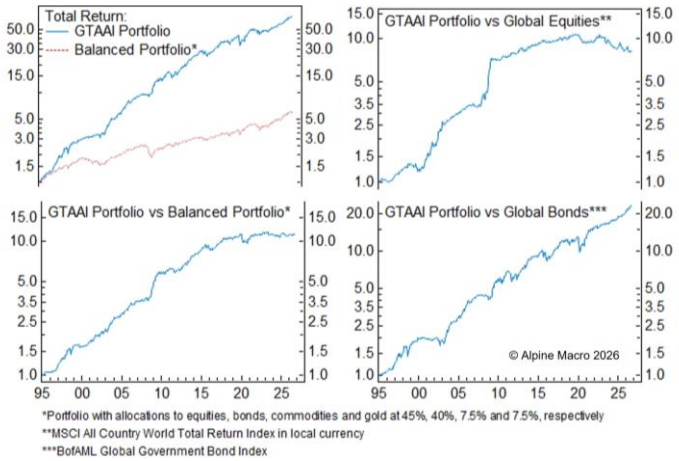
- **The GTAAI model extends its broadly risk-on stance in October, raising equity exposure while maintaining its bond exposure. Within equities, core country preferences remain concentrated in the US and Switzerland, despite a significant increase in the allocation to Norwegian equities. Within fixed income, core country preferences are largely unchanged, led by Japan, the UK and Norway. Within commodities, the model significantly cut its gold allocation, balanced by a slight increase in the broader complex. Within FX, we revert to a stronger US dollar stance given rising real yield. We recommend hedging local currency exposure this month, except for the Japanese yen.**

September Performance Review

The GTAAI model portfolio lost 1.3% in September, underperforming the hypothetical balanced portfolio by 0.1 percentage points (Chart 1). The model was correctly positioned overweight equities versus bonds, but its overweight to Swiss equities damaged overall portfolio returns, mainly due to idiosyncratic factors specific to the market. Gold was another major drag on relative performance.

The Fed's September hike did not slow the market's repricing towards a more hawkish policy path. US 2-year yields rose a further 25bp after the FOMC meeting, ending the month near 4.9%. Persistently rising real yields also pushed long-end yields significantly higher, putting valuation pressure on equities.

Chart 1: GTAAI Model Performance

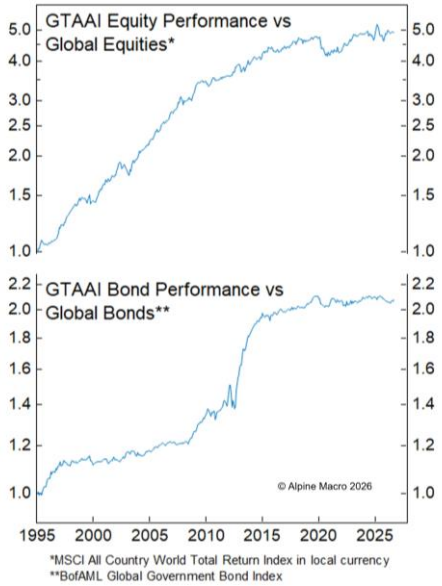


Source: Alpine Macro, BofAML, MSC

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In equities, the GTAAI model's country selections underperformed the MSCI Global Equity Index by 0.6% in September, returning -1.5% against -0.9% for the index. The overweight in Swiss equities, which previously served as a key return contributor, however, was the main detractor, falling 3%. Meanwhile, US equities were flat.

Chart 2: GTAAI Alpha Performance



Source: Alpine Macro, BofAML, MSC

In bonds, the GTAAI model's selections outperformed the BofAML Global Investment Grade Government Index by 0.7%, which was down 1.9% (Chart 2). The model was overweight Japanese government bonds, which remained attractive on cheap valuations and were the best performers in the G10 universe. It was also overweight UK gilts, whose returns continued to face pressure from higher energy prices and a challenging fiscal backdrop.

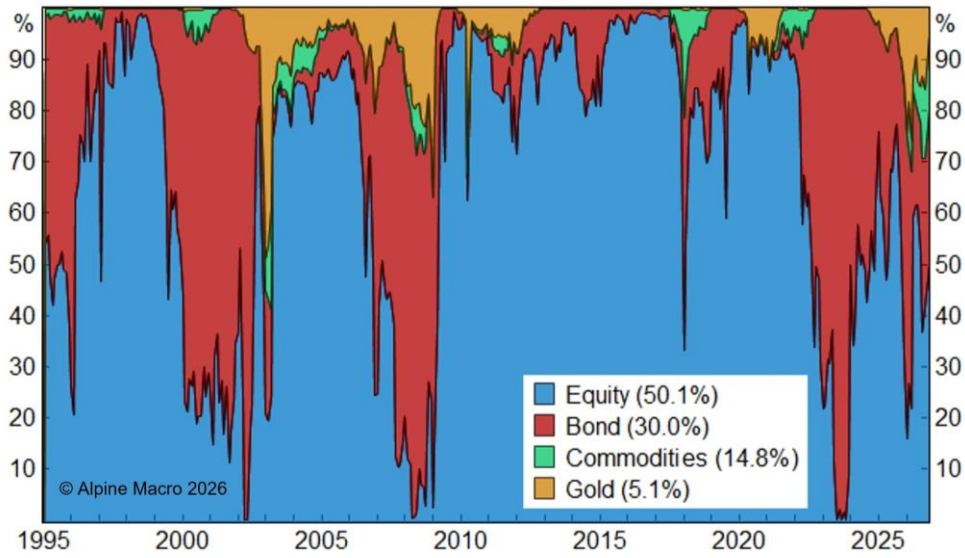
Last month, we recommended that clients leave all local-currency exposures unhedged except for the Japanese Yen. This did not work as expected, as rising real yields lifted the US dollar, which most G10 currencies had depreciated against.

Model Allocations for October 2026

For October, the model further extends its risk stance. The equity allocation is raised to 50%, while fixed income is raised marginally to 30%. The model slightly dialed up its commodity allocation to 15%, while significantly reduced its gold allocation to 5% (Chart 3). Table 1 provides the model's allocation details.

The model's equity exposure takes a relatively more diversified stance this month, although it remains concentrated in the US, Norway, and Switzerland. US equities remain the largest exposure, supported by strong fundamentals. Norwegian equities, which benefit from higher energy prices, have shown strong momentum and earnings. The model therefore raised its allocation significantly to 11%, overtaking Swiss equities as the second-largest equity position in the GTAAI portfolio. Swiss equities remain attractive for their strong return on equity and are now the third-largest overweight.

Chart 3: GTAAI Asset Class Allocation



Source: Alpine Macro

Table 1: Current GTAAI Model Allocations

	October 2026				September 2026			
	Equity	Bond	GSCI	Gold	Equity	Bond	GSCI	Gold
Australia	0.3%	3.5%			0.2%	4.1%		
Canada	0.0%	0.4%			0.0%	0.9%		
Switzerland	9.7%	0.0%			9.0%	0.0%		
Germany	1.1%	1.1%			0.4%	1.7%		
Emerging Markets	0.8%	0.6%			0.2%	0.7%		
Spain	2.0%	0.0%			1.3%	0.0%		
France	0.4%	1.3%			0.3%	1.0%		
U.K.	2.1%	5.3%			0.1%	4.5%		
Italy	2.5%	0.1%			1.8%	0.1%		
Japan	0.0%	11.5%			0.0%	9.8%		
Norway	11.2%	6.0%			6.3%	5.7%		
Sweden	1.1%	0.2%			0.1%	0.4%		
U.S.	18.8%	0.0%			22.1%	0.1%		
Total	**50.1%**	**30.1%**	**14.8%**	**5.1%**	**41.7%**	**29.0%**	**13.5%**	**15.8%**

Note: Allocations are rounded to the nearest decimal point

Source: Alpine Macro

In bonds, valuation keeps driving the framework which have cheapened across the board. Its preference within the asset classes has not materially shifted. It's the GTAAI's bets are in relatively uncorrelated markets, each with distinct economic dynamics.

The model significantly cut its allocation to gold while slightly increasing its exposure to the broader commodity complex. Rapidly rising real yields have sharply weakened gold's momentum, while renewed MiddleEast tensions have pushed Brent crude higher. We believe the risk of further escalation remains high, implying that risks to energy prices are skewed to the upside.

The model's focus is entirely on absolute returns. Changes in specific assets usually reflect broader asset class adjustments rather than asset-specific factors.

Maintain Overweight In JGB

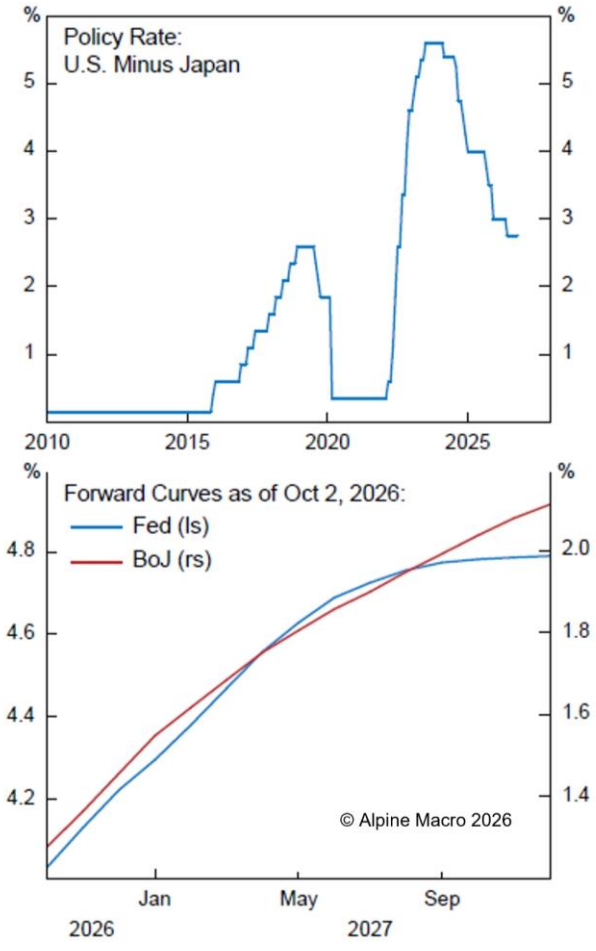
This month, the model further raises its JGB allocation by 2 ppts to 12%, keeping Japan the model's most preferred bond market.

On the fundamentals, JGBs continue to show attractive valuations under sustained selling pressure. Our valuation indicator now reads 2.9 sigma cheap, pointing to scope for JGBs to converge to fair value.

The Bank of Japan (BoJ) raised its policy rate to 1.25% from 1% on Friday 18th September as expected. We now expect the BoJ will hike again in December and April 2027 to a terminal rate of 1.75%, which is our estimate for the neutral rate (Chart 4). If the recent rise in oil prices persists, the risk that Japan's economy will slide into mild stagflation will rise, raising risks of curve flattening.

The model puts little weight on the cycle and FX inputs.

Chart 4: Forward Market Pricing Points To Further BoJ Tightening



Source: Alpine Macro, Bloomberg Finance L.P.

Diversify With Gilts and Norwegian Bonds

The model kept its gilt allocation at 5% in September, with valuation remaining the dominant driver.

Although the Bank of England (BoE) decided to leave the policy rate unchanged at 3.75% in September, we noticed that the tone has changed, as most MPC members made clear that they were very concerned by the sharp rise in wholesale energy prices since its July meeting. With members reiterated their hawkish stance, a November rate hike looks almost certain, with another rise in December or February likely. And the recent rising gilt yields reflect this significantly more hawkish monetary policy path.

The UK Treasury is considering running with lower headroom, rather than looking to fully bridge any gap with tax rises or spending cuts. This is probably a sensible compromise, which could help lower the market's exacerbating worries on UK's fiscal sustainability.

The allocation to Norwegian bonds maintained at 6%, primarily driven by valuation at 80% of the signal. Norwegian bonds screen 1.4 sigma cheap, with the model's fair value for the 10-year yield at 3.3% versus the current 4.7%.

Staying Overweight U.S.

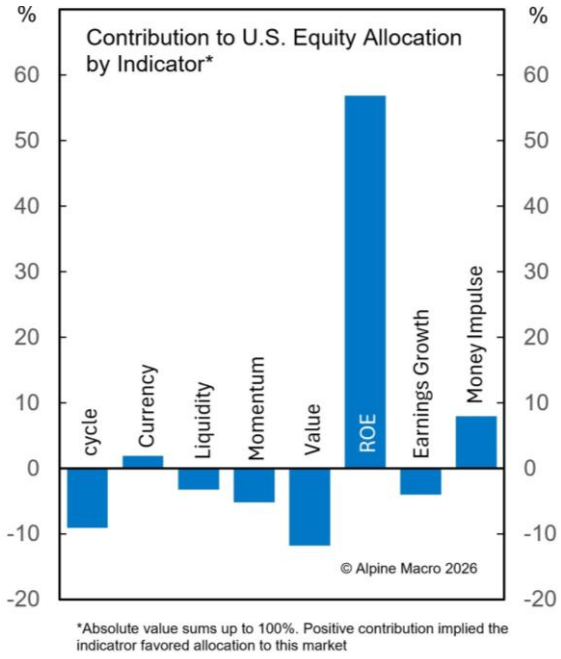
For equities this month, the model takes a relatively more diversified stance this month, although it remains concentrated in the US, Norway, and Switzerland. Together, these three markets account for 79% of the August equity allocation. Strong return on equity remains the primary driver of the call.

The model reduced its US equity exposure to 19%, from 32% last month, though it remains the largest equity position. The ROE factor reads 2.9 sigma bullish and continues to contribute over half of the allocation decision (Chart 5). Although risks are likely to remain elevated as the US mid-term elections approach. However, we believe this volatility continues to offer attractive entry points for investors with a horizon beyond one quarter, given stronger and broadening earnings fundamentals across the US equity market.

We therefore retain our belief in corporate fundamentals. Unlike the tech rally through the pandemic, this AI boom rests on solid earnings, which Q3 season is starting to verify this again. As the productivity gains from AI become more evident, we expect this buildout cycle to prove more durable than the market is pricing.

The US macro outlook is also supportive of risk assets. Our macro regime indicator, built on our US team's forecasts point to a high-growth, low-inflation regime for Q4. Historically, equities have performed best in this regime, and we don't expect an exception this time.

Chart 5: Drivers of The U.S. Equity Allocation



Source: Alpine Macro

Beyond strong ROE, momentum has weakened again after a volatile September, driven by turmoil in the long-end of the curve and the shifting Middle East conflict. Stretched valuations and tighter liquidity remain a drag, but the model judges that strong profitability outweighs these negatives, supporting the US allocation.

The model lifted its allocations in the Norwegian equities to 11%, overtaking Swiss equities, which accounts for 10% of the model's equity allocations, as the second-largest exposure. The Norwegian overweight is driven primarily by the momentum factor, which signals an unusually strong downtrend despite solid corporate fundamentals. Meanwhile, the overweight in Swiss equities remains driven

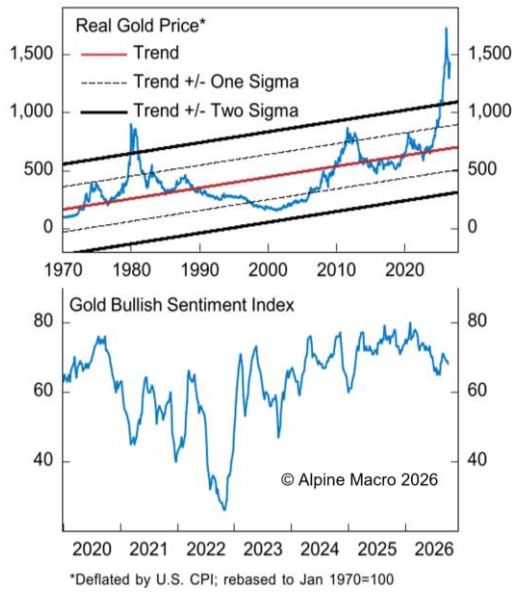
primarily by the ROE factor, which reads 2.2 sigma bullish. Money supply dynamics are expected to remain supportive of Swiss equities, and there are signs that their momentum is recovering.

Reducing Gold

The model reduced gold allocations to 5% for October from 16% in September. The allocation is still mainly driven by momentum (Chart 6).

Fundamentals have weakened significantly to neutral, though the underlying inputs remain mixed. Unlike energy and AI, gold has lacked a comparable growth narrative this year, contributing to notable ETF outflows earlier in the year. With real yields climbing relentlessly, gold looks increasingly unattractive relative to US Treasuries and other income-generating assets. In the near term, the market's hawkish pricing of the Fed's policy path remains a headwind for gold.

Chart 6: Gold Uptrend Remains Intact



Source: Alpine Macro, Bloomberg Finance L.P.

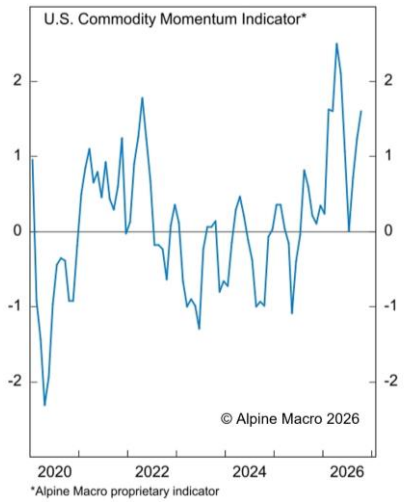
Buying back Commodities

The model slightly raises the commodity allocation to 15% in October, from 13.5% in September. Both technical and fundamental indicators remain supportive.

Given the re-escalation of Middle East geopolitical conflicts, commodities have regained their momentum on the back of rising energy prices, with the indicator now back to 1.6 sigma bullish (Chart 7).

Meanwhile, industrial recovery is also likely to provide firm support for industrial metals.

Chart 7: Commodity Momentum Has Faded



Source: Alpine Macro

Currency Considerations

The model carries local-currency exposure, and we provide discretionary hedging guidance to enhance performance. This month, we recommend hedging all currency exposures, except for the Japanese yen.

Relentlessly rising real yields and tighter monetary conditions have created a favourable environment for a stronger dollar. Meanwhile, a much stronger US growth outlook relative to other G10 countries provides solid fundamental support for the dollar. On the yen, this year's experience suggests the BoJ is defending a ceiling of around 159–161 for USD/JPY, a level the pair is now approaching. Moreover, the BoJ's recent hawkish shift and more aggressive reaction function to Japanese inflation should further help stabilise the yen.

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